

2013 SCC OnLine All 10200

(BEFORE ASHOK BHUSHAN AND VIPIN SINHA, JJ.)

Barnala Steel Industries Ltd. Petitioner

v.

Pashchimanchal Vidyut Vitran Nigam Ltd. and Anr. .

.... Respondents

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Respondent:- N. Mishra

Writ - C No. - 58763 of 2013

Decided on October 31, 2013

Hon'ble Ashok Bhushan, J.

Hon'ble Vipin Sinha, J.

Heard Sri B.C. Rai, learned Counsel for the petitioner and Sri Nripendra Mishra, learned Counsel for the respondents.

Counter affidavit has been filed and with the consent of learned counsel for the parties, the writ petition is being finally decided.

By this writ petition, the petitioner has prayed for quashing the order dated 25.5.2013 to the extent by which the petitioner has been asked to furnish bank guarantee for additional security amount.

Learned Counsel for the petitioner submits that the petitioner has submitted an application for enhancement of load which has been accepted and the impugned order dated 25.5.2013 has been issued. He submits that the petitioner is ready to comply with the other conditions of the letter dated 25.5.2013 except the demand of bank guarantee for additional security amount of Rs. 2,66,70,160/-. Learned Counsel for the petitioner further submits that the petitioner's case is fully covered by the Division Bench judgment of this Court in 2009 (9) ADJ 19 *Tehri Girders Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.*

Learned Counsel for the respondent submits that bank guarantee has been demanded for the amount of additional security which is due on the petitioner. Learned Counsel for the petitioner has referred to the averments made by the petitioner in paragraphs 14 and 15 of the writ petition in which it has been pleaded that the demand of bank guarantee for additional security cannot be raised since it is not a dues within the meaning of paragraph 4.49 of Electricity Supply Code, 2005.

It has been further stated that against the Division Bench judgment in *Tehri Girders Ltd.* (Supra) no Special Leave Petition has been filed. The said paragraphs have been replied by the respondents in paragraph 9 of the counter affidavit, in which no specific reply has been given. The Division Bench in *Tehri Girders Ltd.* (supra) fully supports the contentions of the learned Counsel for the petitioner. The Division Bench in paragraph 30 of *Tehri Girders Ltd.* (supra) has laid down following:

“Clause 4.49 of the U.P. Electricity Supply Code 2005, as noted above, uses the words “recovery of any dues”, which clearly mean that the dues must be recoverable by any process as provided under the Electricity Act, 2003 or the U.P. Electricity Supply Code 2005. As noticed above, the scheme of the Act and the Code does not indicate that any process for recovery of additional security is contemplated or provided for because of the reason that the consequences for non deposit of additional security has been clearly provided in the Act itself. The payment of additional security being condition for release of additional load, in the event it is not paid the additional load is not to be released and further supply can be discontinued. No more is contemplated with regard to non payment of additional security. Thus it is held that additional security to be deposited by the petitioners cannot be treated to be any dues, which is to be recovered from the petitioners. In view of the above, Clauses 4.49 of U.P. Electricity Supply Code 2005 is not attracted and the demand by the respondents of giving bank guarantee for the amount of additional security, which has been stayed by this Court in different writ petitions is unjustified.”

In the above view of the matter, we are of the view that the demand of bank guarantee for the amount of additional security as noted above, is not in accordance with law laid down by this Court in *Tehri Girders Ltd.* (Supra). We however, clarify that the petitioner shall comply with the other conditions of the letter dated 25.5.2013 by which bank guarantee for additional load has been sanctioned.

With the aforesaid direction, the writ petition is disposed of.

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